Regulatory Guidelines for Credit Risk Management

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1. Regulatory Framework Overview

This document summarizes the key regulatory requirements applicable to our consumer and commercial lending operations. It incorporates guidance from the Office of the Comptroller of the Currency (OCC), Federal Deposit Insurance Corporation (FDIC), and Consumer Financial Protection Bureau (CFPB). All credit decisions must comply with these regulatory standards in addition to internal credit policies.

2. Fair Lending Requirements

Equal Credit Opportunity Act (ECOA) and Fair Housing Act Compliance:

Credit decisions must be based solely on creditworthiness factors. Prohibited bases for discrimination include race, color, religion, national origin, sex, marital status, age (provided the applicant has the capacity to contract), receipt of public assistance income, and good faith exercise of rights under the Consumer Credit Protection Act.

Disparate Impact Analysis: The bank conducts quarterly statistical analysis of approval rates, pricing, and terms across demographic groups. Any statistically significant disparities must be investigated and remediated.

Adverse Action Notices: When a credit application is denied or terms are less favorable than applied for, the applicant must receive a written notice within 30 days specifying the principal reasons for the adverse action (maximum 4 reasons). Reasons must be specific and relate to the applicant's creditworthiness.

Documentation Requirements: All credit decisions must be documented with specific factors supporting the decision. Subjective criteria (such as "character" or "reputation") must be supported by objective, verifiable information.

3. Credit Risk Management Standards (OCC Guidance)

Sound credit risk management practices include:

Credit Risk Strategy: The board of directors must approve a written credit risk strategy that establishes risk appetite, target markets, and portfolio concentration limits. The strategy must be reviewed and updated at least annually.

Portfolio Concentration Limits: No single industry sector should exceed 25% of total loan portfolio. Commercial real estate (CRE) concentration should not exceed 300% of total risk-based capital. Construction and land development loans should not exceed 100% of total risk-based capital.

Stress Testing: The bank must conduct annual stress tests on the credit portfolio using adverse economic scenarios. Stress scenarios must include unemployment rate increases of at least 3 percentage points, home price declines of at least 15%, and GDP contraction of at least 2%.

Independent Credit Review: An independent credit review function must evaluate the accuracy of risk ratings, compliance with credit policies, and adequacy of loan documentation at least annually for all relationships exceeding $500,000.

4. Risk Rating System Requirements

Regulatory expectations for internal risk rating systems:

Rating Scale: The bank must maintain a risk rating system with a minimum of 5 pass grades and at least 2 criticized/classified grades. Our system uses a 1-5 scale for pass grades and Special Mention, Substandard, Doubtful, and Loss for criticized categories.

Rating 1 (Minimal Risk): Borrowers with the strongest financial condition. Probability of default less than 0.5% annually. Typically includes investment-grade corporate borrowers and consumers with credit scores above 780 and DTI below 25%.

Rating 2 (Low Risk): Borrowers with strong financial condition and stable cash flows. Probability of default 0.5-1.5% annually. Consumers with credit scores 720-779 and DTI below 35%.

Rating 3 (Moderate Risk): Borrowers with acceptable financial condition but with some vulnerability to adverse economic conditions. Probability of default 1.5-3.0% annually. Consumers with credit scores 680-719 and DTI below 40%.

Rating 4 (Elevated Risk -- Watch List): Borrowers showing signs of financial weakness. Probability of default 3.0-8.0% annually. Requires enhanced monitoring and quarterly reviews. Consumers with credit scores 620-679 or DTI 40-45%.

Rating 5 (High Risk -- Special Mention): Borrowers with well-defined weaknesses that jeopardize repayment. Probability of default above 8.0% annually. Requires monthly monitoring and active management. Consumers with credit scores below 620 or DTI above 45%.

Substandard: Borrowers with well-defined weaknesses that jeopardize liquidation of the debt. Loss potential exists but is not yet certain.

Doubtful: Full collection is improbable based on current conditions. Loss is expected but the amount cannot yet be determined.

Loss: Debt is considered uncollectible and should be charged off.

Rating Migration: All rating changes must be documented with supporting analysis. Upgrades require evidence of sustained improvement over at least two consecutive quarters. Downgrades must be made promptly when adverse information is identified.

5. Consumer Protection Requirements

Truth in Lending Act (TILA): All consumer credit products must include clear disclosure of APR, finance charges, amount financed, total of payments, and payment schedule. Disclosures must be provided at least 3 business days before closing for mortgage loans.

Real Estate Settlement Procedures Act (RESPA): Loan Estimate must be provided within 3 business days of receiving a mortgage application. Closing Disclosure must be provided at least 3 business days before closing. No kickbacks or unearned fees for settlement services.

Fair Credit Reporting Act (FCRA): The bank must have a permissible purpose for pulling credit reports. Applicants must be notified if information from a credit report was used in an adverse action. Disputes must be investigated within 30 days.

Servicemembers Civil Relief Act (SCRA): Active duty servicemembers are entitled to interest rate reduction to 6% on pre-service obligations. Foreclosure and repossession protections apply during active duty and for a period after.

6. Anti-Money Laundering (AML) in Lending

Customer Due Diligence (CDD) in Credit Decisions:

All loan applicants must undergo Customer Identification Program (CIP) verification. Enhanced due diligence is required for loan amounts exceeding $100,000, applicants with complex business structures, foreign nationals, and politically exposed persons (PEPs).

Suspicious Activity Monitoring: Unusual patterns in loan applications or repayment behavior must be reported. Red flags include rapid payoff of large loans with no apparent income source, multiple applications across branches in a short period, and reluctance to provide required documentation.

Source of Funds: For down payments exceeding $25,000, documentation of the source of funds is required. Gift letters must be obtained for gifted down payments, and the donor's relationship to the borrower must be documented.

7. Data Privacy and Information Security

Gramm-Leach-Bliley Act (GLBA) Requirements:

Customer financial information must be protected with administrative, technical, and physical safeguards. Privacy notices must be provided at account opening and annually thereafter. Customers must be given the opportunity to opt out of information sharing with non-affiliated third parties.

Credit Report Handling: Credit reports must be accessed only for permissible purposes. Access must be logged and auditable. Reports must not be stored longer than necessary for the business purpose. Electronic transmission of credit reports must use encryption.

PII Protection: Social Security numbers, account numbers, and other personally identifiable information must be masked in all displays and reports except where full numbers are required for processing. SSN should be displayed as XXX-XX-1234 format in all customer-facing and most internal documents.